

IND AS 36 — IMPAIRMENT OF ASSETS

CGU, Recoverable Amount, Testing & Red Flags

1. SCOPE & WHEN TO TEST

Assets are tested for impairment when there is an indication of impairment. Goodwill, intangible assets with indefinite useful lives and intangible assets not yet available for use are tested annually (and whenever there is an indication).

2. CGU CONCEPT

Cash-generating unit = smallest identifiable group of assets that generates cash inflows that are largely independent of those from other assets. Goodwill is allocated to CGUs (or groups of CGUs) expected to benefit from the synergies.

3. IMPAIRMENT TEST

Compare carrying amount with recoverable amount. Recoverable amount = higher of Fair Value less Costs of Disposal and Value in Use (discounted future cash flows). If carrying amount > recoverable amount → recognise impairment loss.

4. JOURNAL ENTRY

Dr Impairment Loss (P&L;) Cr Asset / Accum. Impairment

For revalued assets, first reduce revaluation surplus, excess to P&L.; Reversal of impairment (except goodwill) is permitted when recoverable amount increases.

5. RED FLAGS

- CGU defined too high, masking impairment in individual assets
- Overly optimistic cash-flow forecasts or terminal growth rates
- Discount rates that do not reflect current market assessments of risk
- Failure to test goodwill annually
- Reversal of impairment not supported by observable recovery

Source: Official Ind AS (2025-26) · Prepared by Dr. Debasis Pahi